

However much policies may differ among companies, there are three elements that must always be present if a company's shares are to be worthy of holding for conservative, long-range investment.

1. The company must recognize that the world in which it is operating is changing at an ever-increasing rate.

All corporate thinking and planning must be attuned to challenge what is now being done—to challenge it not occasionally but again and again. Every accepted way of doing things must be examined and reexamined to be as sure as is permitted by human fallibility that this way is really the best way. Some risks must be accepted in substituting new methods to meet changing conditions. No matter how comfortable it may seem to do so, ways of doing things cannot be maintained just because they worked well in the past and are hallowed by tradition. The company that is rigid in its actions and is not constantly challenging itself has only one way to go, and that way is down. In contrast, certain managements of large companies that have deliberately endeavored to structure themselves so as to be able to change have been those producing some of the most striking rewards for their shareholders. An example of this is the Dow Chemical Company, with a record of achievements over the last ten years that is frequently considered to surpass that of any other major chemical company in this country, if not in the entire world. Possibly Dow's most significant departure from past ways was to break its management into five separate managements on geographical lines (Dow USA, Dow Europe, Dow Canada, etc.). It was believed that only in this way could local problems be handled quickly as best suited local conditions and without suffering from the bureau-cratic inefficiencies that so often accompany bigness. The net effect of this as told by the president of Dow Europe: “The results that today challenge us are being made by our sister [Dow] companies throughout the world. They, not our direct competitors, are turning in the gains that push us to be first.” From the investor's standpoint perhaps the most important feature of this change was not that it was made but that it was made when Dow still had a total sales volume much smaller than many other multinational companies that were operating successfully in the established way. In other words, change and improvement arose from innovative thinking to make a workable system better—not from a forced reaction to a crisis.